FOREXPROFITPATHWAYS | FREE GUIDE

Forex Beginner Guide

Four short lessons: the basics, charts, risk and the mindset.

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Educational content only. This guide is not financial, investment, tax or legal advice. Trading forex carries a high level of risk and you can lose some or all of your capital. No outcome or profit is guaranteed. Examples are simplified illustrations, not recommendations or typical results.

START HERE

Welcome

Most beginners lose money for one of two reasons: they do not understand how a trade actually works, or they trade with no plan for risk. This guide fixes both. It is short on purpose, so you can finish it in one sitting and come back to it later.

What you will learn

- **Lesson 1: Forex basics.** Pairs, pips, spreads, lots, leverage and market hours.
- **Lesson 2: Technical analysis.** Reading candles, trends, support and resistance.
- **Lesson 3: Risk management.** Position sizing, risk/reward and drawdown, with real numbers.
- **Lesson 4: Trading psychology.** The habits that decide whether you last.
- **Bonus:** a pre-trade checklist you can use before every trade.

How to use this guide

Read one lesson, then practise it on a demo account before using real money. A demo account lets you trade with virtual funds, so mistakes cost nothing. Keep a notebook and write down what you learn from each trade.

BEFORE YOU START

Forex trading involves substantial risk. Most retail traders lose money. Nothing in this guide is a promise of profit. Only ever trade with money you can afford to lose.

LESSON 1

Forex basics

Forex is the market where one currency is exchanged for another. Because you always swap one currency for another, currencies are quoted in **pairs**.

Reading a currency pair

In EUR/USD the first currency (euro) is the **base** and the second (US dollar) is the **quote**. A price of 1.1000 means one euro costs 1.10 US dollars. If you buy EUR/USD you are betting the euro will rise against the dollar. If you sell it, you are betting it will fall.

The vocabulary you need

Term	What it means
Pip	The standard unit of price movement. 0.0001 for most pairs, 0.01 for pairs with the Japanese yen.
Spread	The gap between the buy price (ask) and sell price (bid). It is the main cost of a trade.
Lot	Trade size. Standard lot = 100,000 units, mini = 10,000, micro = 1,000.
Leverage	Lets you control a bigger position with a smaller deposit (margin). It magnifies gains and losses.
Margin	The deposit your broker holds while a leveraged trade is open.

Why leverage is dangerous

With 1:100 leverage, a $1,000 account can control $100,000. A small move against you can erase the account. Beginners often use too much leverage because it feels like free power. Treat it as a risk, not a bonus.

When the market is open

The forex market runs 24 hours on weekdays across four main sessions: Sydney, Tokyo, London and New York. Activity is usually highest, and spreads are often tightest, when London and New York overlap.

KEY TAKEAWAY

Pairs, pips, spreads and lot sizes are the language of every trade. Learn them first, and treat leverage with respect.

LESSON 2

Technical analysis

Technical analysis studies price charts to find structure. It does not predict the future. It helps you decide where a trade idea is right and, more importantly, where it is wrong.

Candlesticks

Each candle shows four prices for one time period: the open, high, low and close. The thick part (body) shows open to close, and the thin lines (wicks) show the high and low. A run of candles shows whether buyers or sellers are in control.

Market structure

This is the simplest and most useful starting point.

- **Uptrend:** price keeps making higher highs and higher lows.
- **Downtrend:** price keeps making lower highs and lower lows.
- **Range:** price moves sideways between a floor and a ceiling.
- A trend may be changing when the pattern breaks, for example an uptrend makes a lower low.

Support and resistance

Support is an area where price has repeatedly stopped falling. **Resistance** is an area where it has repeatedly stopped rising. Think of them as zones, not exact lines. The more times a zone has held, the more traders watch it.

Use more than one timeframe

Look at a higher timeframe (daily or 4-hour) to see the main direction. Then use a lower timeframe (1-hour or 15-minute) to time your entry. Trading against the higher-timeframe direction is harder.

A word on indicators

Tools such as moving averages and RSI are calculated from past price, so they lag. Keep them few and simple. Price structure should come first.

KEY TAKEAWAY

Read structure first and indicators second. No pattern is certain; use charts to define your risk, not to predict.

LESSON 3

Risk management

Risk management decides whether you stay in the game long enough to improve.

Step 1: decide how much to risk

Many traders risk a small fixed percentage of their account on each trade, commonly between 0.5% and 2%. This is a widely used guideline, not advice.

Step 2: size the position from your stop-loss

Your stop-loss is the price where your idea is proven wrong. Work out the lot size so that if the stop is hit you lose only your chosen amount.

FORMULA

Lot size = Amount at risk / (Stop-loss in pips x Pip value per lot)

Example. Account: $1,000. Risk: 1% = $10. Stop-loss: 25 pips. For EUR/USD one pip on a standard lot is about $10. Lot size = 10 / (25 x 10) = **0.04 lots** (4,000 units). If the stop is hit you lose about $10, exactly what you planned.

Step 3: check the risk/reward

Risk/reward compares what you risk with what you aim to make. If you risk 25 pips to target 50 pips, the ratio is 1:2. At 1:2 you only need to win more than about one trade in three to break even, before costs.

For reference, the win rate you need just to break even (before costs) is 50% at 1:1, about 33% at 1:2 and 25% at 1:3.

Why drawdown matters

Losses are harder to recover than they look, because the gain is calculated on a smaller balance.

Account loss	Gain needed to recover
10%	11.1%
20%	25%
50%	100%

KEY TAKEAWAY

Decide your risk before you enter. Size the position from the stop-loss, never from how confident you feel.

LESSON 4

Trading psychology

Most trading mistakes are emotional, not technical. You can know the best strategy and still lose if you cannot follow your own rules.

The four traps

Trap	What it looks like
FOMO	Chasing a move you missed because you are afraid of missing more.
Revenge trading	Taking a bigger or sloppier trade right after a loss to win it back.
Overtrading	Taking low-quality setups because you are bored or want action.
Moving the stop	Pushing your stop-loss further away to avoid accepting a loss.

The fix: a written plan

Before you trade, write down what a valid setup looks like, where you enter, where you are wrong, and how much you risk. Then judge yourself on one question: did I follow the plan? A good trade can lose, and a bad trade can win. Over many trades, process beats luck.

Habits that help

- **Keep a journal.** Record the setup, your reasons, the result and how you felt. Review it weekly.
- **Set a daily loss limit** and stop for the day when you hit it.
- **Take a break** after two or three losses in a row.
- **Trade a demo account** until you can follow your rules for several weeks.
- **Accept losses** as a normal cost of trading. Losing control of your rules is the real danger.

KEY TAKEAWAY

Process over outcome. You cannot control any single result, but you can always control whether you followed your plan.

BONUS

Your pre-trade checklist

Run through this before every trade. If you cannot tick every line, skip the trade.

	Question
[ ]	Do I know the direction on the higher timeframe?
[ ]	Is there a clear level for my entry and my stop-loss?
[ ]	Is my risk 2% of my account or less (or whatever limit I set)?
[ ]	Is my risk/reward at least 1:2?
[ ]	Have I calculated my lot size from the stop-loss?
[ ]	Am I calm, rested and not trying to win back a loss?
[ ]	Is a major news release about to happen that could jump the price?
[ ]	Will I write this trade in my journal afterwards?

Where to go next

If this guide was useful, the next step is building the full framework with worked examples:

- **The ForexProfitPathways course** covers five modules from foundations to live trading strategies. Details: forexprofitpathways.com/#course
- **Mind Over Market** goes deeper on trading psychology and emotional discipline.
- **The Forex Edge** explains how session liquidity and institutional order flow shape the market.
- **Questions?** Contact us any time at forexprofitpathways.com/contact.html

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